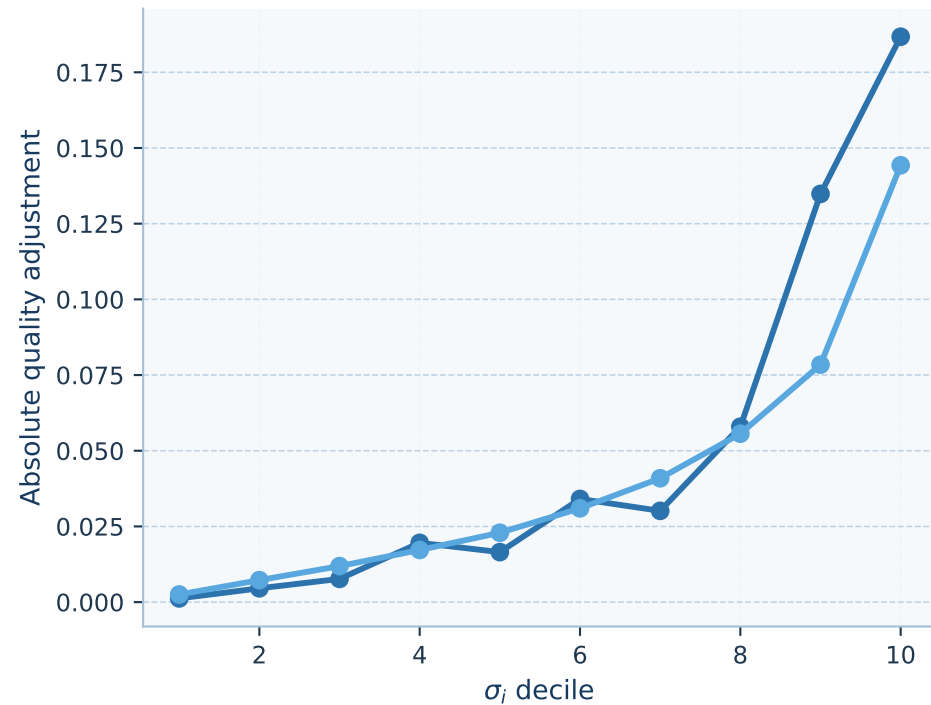


How adjustment strength varies with accounting uncertainty

Latent Conservative λ_i $1 - \lambda_i$

Panel A: Mean absolute adjustment



Panel B: Shrinkage and uncertainty weight

